# Organisational Structures

Unit 1 · 1.3.4.3 Organisational design

An **organisational structure** is the way roles, responsibilities and authority are arranged in a business.

## Key terms

- **Hierarchy** — the layers of management from top to bottom.
- **Chain of command** — the line of authority down which instructions pass.
- **Span of control** — the number of subordinates a manager is directly responsible for.

## Tall vs flat

- **Tall (hierarchical)** — many layers, narrow spans, long chain of command. Clear promotion and close supervision, but slow communication and higher management costs.
- **Flat** — few layers, wide spans, short chain. Faster communication and lower costs, but managers stretched and fewer promotion rungs.

Moving from tall to flat means **delayering** — removing a management level (e.g. Waitrose removed its Head of Department layer to build a “whole shop” culture).